



The above image shows an example of the VCP formation being created in a stock named TATA Motors.

- 1** Firstly, the stock establishes its dominant trend (uptrend) by a big swing upwards. This move helps traders in identifying the dominant trend of the stop.
- 2** Afterwards, notice how the first pullback is long and fierce. This forms the base of the pattern. The volume typically declines during this phase highlighting reduced selling pressure. The key point you should remember is that the price must hold above its support level. This shows that the bulls are still in control of the whole situation.
- 3** After the first pullback, the bulls regain control and move the stock towards the resistance level. Notice how the second pullback migrates higher without declining much. This shows that the buyers are absorbing the selling pressure and buying every dip of the stock. Also, notice how the time taken to recover from the pullback gets shorter compared to the first pullback.
- 4** In the third pullback, price holds above the second pullback low and quickly snaps back. As you can see, the price is stabilizing near the resistance level which shows the volatility contraction. These shallow pullbacks reveal how strong is the demand for the underlying stock.
- 5** At this point, we are looking for a strong green candle which breaks above the resistance level with a huge upsurge of volume as shown in the price chart. The volatility compressed will be released by an explosive move to the upside.
- 6** Our entry will be the high volume resistance breakout candle. We will enter in a bullish trade at the close of the breakout candle.
- 7** Our initial stoploss will be placed just below the third pullback to avoid getting the stoploss exploited by the market makers.
- 8** The risk to reward ratio will be at least 1:3 or 1:4 times. Mark Minervini, the founder of the VCP pattern, found this pattern to be one of the most robust patterns preceding massive moves in leading stocks across different trading timeframes.

